NATIONAL COMPANY LAW TRIBUNAL: NEW DELHI
SPECIAL BENCH (COURT- II)

C.A.(CAA)-02/ND/2023

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

GIL SHARED SERVICES PRIVATE LIMITED

... Applicant/ Transferor Company

WITH

DSV AIR & SEA PRIVATE LIMITED

... Non- Applicant/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on 20.03.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. AVINASH KUMAR SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT

For the Applicant : Adv. Mukesh Sukhija, Adv. Naresh Kumar, Adv. Pooja Bhatia

ORDER

PER: SHRI. ASHOK KUMAR BHARDWAJ, MEMBER (J)

The pleas espoused in the captioned application, filed by the Applicant Transferor Company are for issuance of orders for:- dispensing with the requirement for convening the meeting of the equity shareholders of the Applicant Transferor Company, as also with requirement for issuance of and publication of notices qua such meeting in the newspapers; directing the service of notice of the present application on a)- the Central Government through the office of Regional Director, Northern Region, MCA, b)- the Registrar of the Companies, Delhi and Haryana, New Delhi, c)- the Official Liquidator, MCA, and d)- the Income Tax Department.

2. GIL Shared Services Private Limited (hereinafter referred as the "Applicant/Transferor Company") having CIN U72400DL2009PTC 401087, is a private limited company, incorporated on 18.12.2009 under the Companies Act, 1956. The registered office of the Applicant Company is situated at LG 13, LG Floors, Som Datt Chambers- II, Plot No. 9, Bhikaji Cama Place, New Delhi- 110066; e- mail: sbhadram@agility.com . The Authorised Share Capital of the Company is Rs. 5,00,00,000/- and its Paid-up share Capital is Rs. 1,00,000/-.

3. DSV Air & Sea Private Limited (hereinafter referred as the "Non-Applicant/Transferee Company") having CIN U63011MH2006PTC 162700 is a private limited company incorporated on 19.06.2006 under the Companies Act, 1956. The registered office of the Company is situated at Qube, B- 201, B- 204, M.V. Road, Off International Airport Approach Road, Marol, Andheri East, Mumbai City MH 400059 India. The Authorised Share Capital of the Company is Rs. 53,90,00,000/- and its Paid-up share Capital is Rs.89,76,080/-.

4. The Captioned Application has been preferred by the Applicant/ Transferor Company. The Registered office of the Company being in Delhi, it is amenable to the territorial jurisdiction of this Bench. The territorial jurisdiction of the Registered office of Non- Applicant/ Transferee Company lies in the state of Maharashtra.

5. The most common forms of Corporate Restructuring are merger, amalgamations, acquisition/takeover, financial restructuring, divestiture, demergers, and buy-outs. It is essentially the process of re-designing one or more aspect of the company. A merger is a combination of two or more distinct entities into one, the desired effect being accumulation of assets and liabilities of the entities bringing benefits such as economies of scale, tax benefits, fast growth, synergy, and diversification, etc. In such process the merging entities cease to be in existence and merge into a single entity. Amalgamation is an arrangement whereby the assets and liabilities of two or more

companies become vested in another company (Amalgamated Company) without giving a proportional ownership to the shareholders of the acquired company/ companies. The amalgamating companies lose their identity and emerge as an amalgamated company, which may or may not be the original companies. The merger can further be classified as horizontal, vertical, conglomerate, and concentric. The vertical merger involves combination of two or more stages of production/distribution that are usually separate. Usually, it occurs between companies producing different products for one specific finished product. The conglomerate merger is between the firms which have unrelated business activities. It is a combination in which a firm established in one industry combines with a firm from an unrelated industry. Concentric merger takes place between two companies which share some common expertise that may be mutually advantageous. Acquisition/takeovers implies taking over of interest in a company by another company. It does not lead to dissolution of a company whose shares are acquired. The acquisition can assume three forms viz. negotiated friendly, hostile, and bailout takeover. Demerger is a form of Corporate Restructuring in which a company transfers one or more its undertakings in such a manner that- (i) all the properties/liabilities of the undertaking being transferred become the part of company, (ii) all properties/liabilities of the undertakings are transferred at values appearing in the books of account, (iii) the company issues its shares on a proportionate basis to the shareholders of the demerged company, (iv)

shareholders holding not less than 3/4th in the value of shares in the demerged company become shareholders of the company, (v) the transfer of undertaking is on a going concern basis. The “divestitures” is a form of Corporate Restructuring which involves sale of a segment of a company for cash or securities. It involves sale of only some assets of the firm. These assets may be a plant, division, product line, subsidiary and so on. The divestitures can further be classified as split up-split of division of a company, sell off – selling off assets of a company in a declining market, Spin off – the division of a company into wholly owned subsidiary of a parent company by distribution of all its shares of subsidiary company on a pro-rata basis. Financial Restructuring is carried out internally with the consent of various stakeholder by corporates which have accumulated substantial losses. It is perceived as suitable model for corporate firms accumulating losses. The financial restructuring is achieved by formulating appropriate scheme involving a number of legal formalities. It implies significant changes in the financial/capital structure of a firm, leading to the change in the payment of fixed financial charges and change in the pattern of ownership and control. MBO i.e., the management buy-out involves the selling off the existing firm to the management. The management may be of the same firm, from outside or may be a hybrid form. At times there is also an LBO i.e., Leveraged Buy-outs, such buy-out implies acquisition of a firm i.e., financed principally by borrowing on a secured basis. Two companies may also agree to pool their resources to achieve

a common set of objectives while remaining independent entities. Such agreement is called strategic alliance. So, when there are number of modalities for corporate restructuring, the provisions of Section 230-232 of the Companies Act, 2013 are resorted to quite often and frequently, probably for the reason that the scheme of demerger/merger/amalgamation etc., approved by this Tribunal inspire confidence and has impeccable legal sanctity. Thus, a responsibility is cast on this Tribunal to examine various facets of the scheme carefully. It would not be gainsaid that after approval of the scheme, the fresh branch of litigation starts qua implementation of the same. Thus, the provisions are incorporated in Section 231 of the Companies Act, 2013, providing for supervision of the implementation of the compromise or arrangement by this Tribunal. Section 231(2) even provide for winding up of a company if the scheme approved by this Tribunal is not implemented. We had to make all the afore-mentioned analysis only to emphasise that once the provisions of Section 230-232 of the Companies Act are invoked, a statutory obligation is casted on the Applicant Companies to attach due sanctity to the entire process involved in the Corporate Restructuring carried out with the approval by this Tribunal.

6. As can be seen from the provisions of Section 230 of the Companies Act, 2013, where a compromise or arrangement is proposed between a company and its creditors or any class of them or between a company and its members or any class of them, this Tribunal may on

an application of the company order a meeting of the creditors or class of creditors and members or the class of members and debenture holders of the company, if any, as the case may be. The company or any other person by whom the application as above is made need to disclose to the Tribunal by way of an affidavit: -

a) financial position of the company;

b) the latest auditor's report on the accounts of the company;

c) any investigation or proceedings against the company;

d) and whether the compromise or arrangement includes reduction of share capital of the company.

7. The company/applicant seeking compromise or arrangement also needs to disclose the scheme of corporate debt restructuring, if any, consented to by not less than 75% of the secured creditors in value, including a creditor's responsibility statement in the prescribed form (Form CAA 1); safeguard for the protection of other secured and unsecured creditors; report by the auditor that the fund requirements of the company after the corporate debt restructuring as approved shall conform to the liquidity test based upon the estimates provided to them by the Board; where the company proposes to adopt the corporate debt restructuring guidelines specified by the Reserve Bank of India, a statement to that effect and a valuation report in respect of the shares and the property and all assets (tangible and intangible, movable and immovable) of the company by a registered valuer.

8. As has been provided in Section 232 of the Companies Act, 2013 (hereinafter referred to as Act), the Tribunal may on an application for merger or amalgamation, order a meeting of the creditors or class of creditors or the members or class of members, as the case may be, to be called, held, and conducted in such manner as the Tribunal may direct and the provisions of sub-sections (3) to (6) of section 230 shall apply mutatis mutandis. While examining the **first motion** under Section 230-232 of the Companies Act, 2013, what this Tribunal needs to examine and satisfy itself about is/are: -

a) Whether the applicant(s) has/ have filed the Board resolution, master data, memorandum and articles of association, audited financial statements with balance sheets and provisional balance sheets of the companies;

b) Whether the list of equity shareholders, a CA/CS/CMA certificate, NOC from shareholder, NOC from secured creditors, NOC from unsecured creditors have been filed;

c) Whether the CA/CS/CMA certificate qua the secured creditors, unsecured creditors is available.

d) Whether a copy of scheme of compromise or arrangement, including disclosure as per Section 230 of the Act is filed.

e) Whether an affidavit qua the pendency of any investigation or proceedings against the applicant companies filed.

9. A plain reading of Section 230-232 and 233 of the Companies Act would reveal that the provisions contained in Section 230 of the Companies Act, 2013 broadly regulate the compromise or arrangement

within the company qua the affairs referred to in sub-section (1) thereof including the explanation thereto inter alia. Ergo, to appreciate the provisions regarding merger or Arrangement of two or more companies, we need to refer to Section 233 of the Act.

In terms of the provisions of Section 233 (ibid): -

a) a notice of proposed scheme inviting objections or suggestions, if any, from RoC and Official Liquidator or persons affected by the scheme, within 30 days is required to be issued by the Companies;

b) The objections or suggestions received need to be considered by the companies in their respective general meetings and the scheme needs to be approved by the respective members or class of members holding at least 90% of the total number of shares;

c) each of the companies involved in the merger files a declaration of solvency, in the prescribed form (Form CAA 10) with the Registrar of the place where the registered office of the company is situated and

d) the scheme needs to be approved by majority representing 9/10th in value of the creditors or class of creditors of respective companies indicated in a meeting convened by the company by giving a notice of 21 days along with the scheme to its creditors for the purpose or otherwise approved in writing.

The scheme approved is then required to be filed in the manner as may be prescribed, with the Central Government, Registrar, and the Official Liquidator, where the registered office of the company is situated. In the event of there being no objection/suggestion from the Official Liquidator

and the Registrar, the Central Govt. should register the scheme and issue confirmation thereof to the companies. In the event of there being any objection or suggestion from the Registrar or Official Liquidator and forming the opinion by the Central Govt. in the wake of such objections that the scheme is not in public interest or in the interest of creditors, it may file an application before this Tribunal within a period of 60 days of receipt of the scheme under sub-section (2) stating its objection and requesting that the Tribunal may consider such scheme under Section 232. With such development, it is at the strength of Section 233(6) that this Tribunal may direct the scheme of merger/arrangement to be considered under Section 232. It is in this wake that even when there is Scheme for Arrangement or Merger entered between two or more companies, the application under Section 232 is entertained by this Tribunal.

In turn, as per the provisions contained in Section 232(1) of the Act, the conditions required to be fulfilled while moving an application under sub-section (1) of Section 230 are also needed to be satisfied at the time of filing the application under Section 232 of the Companies Act 2013. It is also for the reasons and logic noted as above that any application for merger/ arrangement/ compromise/ demerger is required to be moved in due compliance of the provisions of Section 230-232 of the Act, irrespective of the fact that whether it is an arrangement/ compromise between the companies and shareholders/creditors or Merger or Arrangement of whole or part of the undertaking, property or

liability of any company with another company or merger/ arrangement between two or more companies.

In sum and substance, the salient conditions required to be satisfied while moving an application (1st motion) under Section 230-232 of the Companies Act, 2013 are those stipulated in Section 230(2) of the Companies Act, 2013 subject to just exceptions. While examining the requirements need to be satisfied by the Applicant/Applicants at the time of filing application (1st motion) under Section 230/232 of the Companies Act, 2013 we cannot be oblivious of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. A conjoint reading of Rules 3 & 4 of the aforementioned Rules would reveal that the application for merger/arrangement, for order of a meeting (1st motion) should be accompanied by a copy of scheme of compromise or arrangement, which should include disclosure as per Section 230 of the Act and an application of arrangement for takeover offer should contain the report of registered valuer disclosing the details of valuation of the shares proposed to be acquired by the member after taking into account the factors mentioned in Rule 3(6) of the aforementioned Rules.

As far as the present application is concerned, it is seen from the record that the Board of Directors of the Applicant Company as well as the Non- Applicant Company vide separate meetings held on 25.11.2022 have approved the proposed 'Scheme of Amalgamation.' The Extracts of

the Board Minutes have been Annexed along the Application as A- 1/5 and A- 2/2, respectively. On perusal of the list of Shareholders of the Transferor Company, annexed as A-1/6 with the application, we have noted that the 100 % shareholding of the Applicant Company is in the hands of the Non-Applicant/ Transferee Company, thus, there would be no issue of shares.

The Applicant Company has also Annexed the written consent/ NOC for the proposed Scheme of Amalgamation, as given by its Shareholders i.e., Transferee Company and its nominee shareholder, along with the list of shareholders, collectively as Annexure A- 1/6. It is duly taken on record.

We have also noted that the Applicant Company has no secured creditors as well as unsecured creditors as on the date of filing of this application. Chartered Accountant certificates pertaining to the same have been annexed by the Applicant as Annexure A-1/7 and A-1/8, respectively and are duly taken on record. A Chartered Accountant certificate confirming the status of Statutory and Employees dues of the Transferor Company, has also been Annexed as Annexure A-1/9 by the Applicant Company. It is duly taken on record.

10. The ramification of the proposed Amalgamation Scheme (Annexed as Annexure A-3), as espoused by the Applicant/ Transferor Company reads thus:

i. *All assets and liabilities including Income Tax and all other statutory liabilities, if any, of the Transferor Company will be transferred to and vest in the Transferee Company.*

ii. *All the employees of the Transferor Company in service on the Effective Date, if any, shall become the employees of the Transferee Company on and from such date without any break or interruption in service upon terms and conditions not less favourable than those subsisting in the Transferor Company on the said date.*

iii. *Appointed Date for Amalgamation will be 1st April, 2023.*

iv. *Since the Transferor Company is a wholly owned subsidiary of the Transferee Company, no new shares will be issued to the Transferor Company by the Transferee Company. Hence, it is not required to prepare a valuation report.*

11. The Applicant Company has placed on record the Certificates from the Statutory Auditors of both the Applicant Company as well as the Non- Applicant Company, confirming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act, 2013 and Generally Accepted Accounting Principles in India (Indian GAAP). The certificate has been annexed with the application as Annexure A- 4.

12. The latest Audited Accounts of Applicant Company as on 31.03.2022 as also the provisional accounts for subsequent period i.e., up till 30.09.2022 are also on record from page nos. 73 to 128 of the application. The Audited accounts and provisional accounts of the

Applicant Company have been placed on record as Annexure A-1/2 and Annexure A- 1/3 respectively.

13. The Applicants have made disclosure qua pendency of any investigation or proceedings against the company through the affidavit dated 07.01.2023. The Affidavit has been placed on record as Annexure A- 1/11.

14. The Applicant Company has annexed its Memorandum of Association (MoA) and Articles of Association (AoA) as Annexure A- 1/1 to the Captioned Application.

15. The position of Shareholders and Creditors as also their Consent through Affidavits qua the Applicant/ Transferor Company can be summarised as below:

Company	**No. of Equity Share holders**	**Consent Given**	**No. of secured Creditors**	**Consent Given**	**No. of unsecured creditors**	**Consent Given**
Applicant /Transferor Company Gil Shared Services Private Limited	2	All	NIL	N.A.	NIL	N.A.

16. As per the stand taken by the Applicants in the application, there are no secured or unsecured creditors qua the Applicant Company. It is also the stand taken by the Applicant that the proposed scheme of amalgamation does not envisage any buyback of shares.

There is no proposal for reduction of share capital except to the extent of cancellation of any cross- holding of shares between the Transferor Company and the Transferee Company, as the case maybe.

17. In the wake of the pleadings and documents put forth by the Applicant/ Transferor Company and the prayer made in the Company Application, it is ordered: -

I. The requirement of convening the meeting of the equity shareholders of Applicant/ Transferor Company is dispensed with.

II. Since there are no secured or unsecured creditors of the Applicant Company, the question of their meeting(s) does not arise.

III. On completion of the exercise as above, the Applicant Company shall be entitled to move an application for approval of the proposed Scheme, before this Tribunal. With 2nd Motion application the Applicant Company shall specifically enclose an affidavit in terms of the provisions of Section 230(2)(c) of Companies Act, 2013.

18. The Court Officer/Registry is directed to send a copy of this order to the Applicant Company for necessary steps to be taken at their end.

19. The Application is disposed of in the aforesaid terms along with the C.A. 82/ 2023.

Sd/- **Sd/-**

(AVINASH KUMAR SRIVASTAVA) **(ASHOK KUMAR BHARDWAJ)**
MEMBER (T) **MEMBER (J)**